NEED TO KNOW

ADVANTAGE CARDHOLDERS

The RBI's master circular for credit and debit card issuance is an attempt to do away with several arbitrary rules. Here is a look at what they mean for you

Cards, both credit and debit, are extremely convenient. However, there are instances when these can cause headache and extreme stress. Think of the time when your card didn't work while booking an important flight ticket or paying the school fee or when you found transactions that weren't made by you and needed to rectify them. Every once in a while, the RBI steps in to bring some order to the chaotic card ecosystem that includes banks, NBFCs (non-banking financial companies), merchants accepting cards and card users. A recent 26-page RBI circular attempts to bring much-needed order and to address several user concerns. It will come into effect from July 1.

Unsolicited cards: It is common for banks to issue credit cards and at times upgrade an existing card without one's consent. This will not be the case in the future. If a card is issued without consent, banks will have to pay twice the billed sum as penalty.

Application fact-sheet: Card issuers will have to furnish a one-page fact sheet with a credit card application detailing important aspects of the card, especially the rate of interest charged and



Illustration by SIDDHANT JUMDE

DEBIT CARDS

↘ **THE POLICY:** Banks need to follow a comprehensive debit cards issuance policy with the approval of their boards

↘ **NOT A MUST:** They cannot force a customer to avail debit card facility nor link it to any bank service

↘ **CO-BRANDED CARD:** Such a card needs to explicitly state that it has been issued under a co-branding arrangement. The co-branding partner cannot advertise or market the co-branded card as its own product. Likewise, in all marketing and ad material, the card issuer's name should be clearly shown in case of co-branded cards

↘ **DISABLING A CARD:** Banks must provide options to disable a card through mobile or internet banking, SMS, IVR or any other suitable mode. Scheduled commercial banks could issue other form factors like wearables instead of a plastic debit card with the consent of customers